Strategic Management

Case: *Allentown Materials Corp: The Electronic Products Division, Michael Beer, July 24, 1997, December 11, 1997*

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SECTION 2

COURSE – STRATEGIC MANAGEMENT

Summary –

Don Rogers asked a narrow question: is the conflict inside the Electronic Products Division serious, and what should he do about it? Having reviewed the division's operating history, its organization, and the accounts given by its own managers, the answer is yes, and the conflict is not a side effect of a bad couple of years. It is the product of a business that changed shape faster than its structure, its measurement system, or its leadership style did.

EPD's sales fell about 10% between 1990 and 1992, from $113.8 million to $103.0 million, while operating margin fell by nearly two-thirds, from $17.9 million to $6.7 million, over the same two years. A division that used to compete on proprietary glass technology and government-grade reliability now sells mostly into price-driven commodity markets, and its internal organization, four functions each measured on different things and coordinated by little more than a monthly meeting, was never rebuilt for that shift. Sales is paid on volume it does not have to defend on margin. Manufacturing plants are profit centers judged on gross margin and lead time, with no stake in new products. Marketing carries the job of forecasting and new-product strategy with no authority to make Manufacturing or Sales act on its plans. Product Development runs ten to twelve projects with, in its own manager's words, no criteria for setting priorities. None of this is new information to EPD's managers; it shows up in almost every quote in the case.

The recommendation to the Board is not simply "fix the culture." It is to change what EPD's functions are measured on, give new-product decisions a body with real authority to make them, decide deliberately which parts of the resistor and capacitor business are worth competing in on Allentown's terms, and get Don Rogers direct support in doing the one thing his own people say he avoids: holding people to commitments and confronting disagreement instead of letting it get resolved through hallway politics.

PROMPT with ITERATIONS -

I am a student of Strategic Management in a prestigious business school MBA program and I am analyzing a case of an electronics product division of a Glass Materials Corporation competing in the specialty glass industry delivering electronic products such as resistors, capacitors etc. I will summarize the case to you and I will answer two questions:

(i) If you are appointed by the board of this company to review the status of the Electronics Products Division (EDP); provide an overall status of challenges?

(ii) What would your recommendations to the Board be?

I will provide answers to both the questions based on my understanding of the case

and my interpretations. Your task is to:

(i) confirm if my interpretation and understanding are correct, from an organizational alignment, culture, conflict management, performance measurement, cross functional integration perspective

(ii) If not then ask probing questions to nudge me to the correct interpretations and recommendations

(iii) keep the conversation between us iterative so that you exhaust all scenarios. Go for a maximum of 3 iterations only

CONTEXT: I think that company is good at R&D and technological know-how and substantial capital is already invested which are strengths of the company. but since competition has become fierce in this field, there has been price - cost squeezes due to which there has been decrease in sales and margins over time.

1. Recently Many of the managers and people are changed like marketing team had many new members. There is a hierarchical division of value also, Manufacturing and R&D are given more importance as they are called profit cetres.

2. But moreover the case suggests there are many interdepartmental conflicts in the division of EPD. There is lack of trust and confidence on each other. Sales, marketing, product development, manufacturing each one is unhappy

about others competence and inaccuracy and face significant coordination issues. Each department has their own complaints with other departments.

sales and marketing constantly conflicted on budget forecast, former basis of customer canvassing and later based it on analytical tools, which didnt align.

manufacturing complained sales is ignorant of gross margins and only focus on volumes. and sales complained of manufacturing plants not being able to fulfil customer's needs rather stingent on ways of working.

manufacturing complained that marketing is failing at providing accurate forecasting and results in incompetence and waste of resources, and their forecasts changed over quick. while marketing complained there is much time wasting in convincing plant managers as they are unwilling to take risks.

manufacturing complained of product development team that they do not provide low cost developments for their products.

marketing complaints that financial contraints made them conservative, and that product development is always delayed and wastes much time in process development and hence low responsiveness to needs is not competent in such dynamic industry. while product dev team complained that marketing doesnt give detailed prod specification for new prods and doesnt give much time always predicting near present.

Product development complained that sales data is not provided even on request which can help in improvement on new products. And complained of technical staff whose direction is different as they report to someone else and are more fixeted on achieving time schedules and relaxed on product requirements

Controller complained that 3 period forecasts are inaccurate and difficult to explain up and downs.

These conflicts have developed into inaccuracies of the entire working of the corporation.

3. One other issue of built in pressure is due to unrealistic performance parameteres and the unalignment of these parameters across departments. I infer that this is due to separated objectives and goals of each department. teams are not aligned.The corporate depended on new products developed fast to meet growth, but it was not happening due to mismatch in strategies, priorities for profitability among teams.

Marketing responsible and assessed on market growth and profitability by segment which was a challenge in dynamic and ambiguous work type coupled with new team

Sales were assessed on basis of sales volume and targets so they didnt worry much about gross margin

Manufacturing assessed on basis of gross margins, lead times, missed delivery commitments and not operational margin objectives (which was more important to achieve low cost operational benefits)

4. even though they share same city and have many face to face meetings, conflicts go unresolved. Under NPD process, there were delays as each function judged viability independently and never clear cut as for the status. Their decisions changed quickly based tech feasibility, market availability, cost assessments etc. In meetings, problems were described but goals slipping and underligned issues were not discussed. Managers constantly relied on subordinates for complete info during the meetings so there was dealy and incompetent discussions. Some didint understand tech aspects of the new product, but presence of GM improved the meetings.

5- Difficult to get everybody on single page, project objectives and deadlines are constanly missed and projects which should be killed are still going on getting resources busied.

The issues in communication, coordination and balance of long term and short term efforts are required attention to cope with rising competition and being able to fight and have an advantage over new entrants and others.

ANSWERS:

(i) Status of challenges: EPD's problems are not a personality clash between departments having a bad stretch. Four things compound each other: performance measures that reward each function for a different, uncoordinated outcome like volume for Sales, local gross margin for plants, growth-by-segment for Marketing, with no shared division-level number; a leadership legacy, an authoritarian predecessor followed by a conflict-avoidant successor, that has never produced a culture where disagreement gets resolved on its merits rather than negotiated around informally; a new-product governance process that lets each function form its own view of a project's status with no one holding real decision authority to make it stick; and a support function, market planning, that was cut precisely when the business needed better forecasting, not less. Task conflict over legitimate differences in goals and information has hardened into relationship conflict, distrust of competence, not just disagreement on numbers, and that is what makes it serious rather than self-correcting.

(ii) Recommendations to the Board: realign performance measures so Sales, Marketing, and Manufacturing share at least one division-level metric alongside

their local ones; give new-product decisions to a cross-functional body with real authority to prioritize and kill projects, not just review them; complete the previously scoped and abandoned interfunctional coordination work rather than starting a new initiative from zero; reinstate a dedicated market-planning capability; give the division head direct, targeted coaching on confronting conflict and enforcing accountability, the specific gap his own managers describe; and commission an explicit portfolio and capacity review to decide which product lines are worth competing in on the company's technical strengths versus which are now commodity businesses that may not support the current plant footprint.

ITERATIONS -

Where your interpretation is solid

Your diagnosis correctly identifies misaligned performance metrics as a root cause rather than a symptom — Sales on volume, Manufacturing on gross margin, Marketing on segment growth, with no shared division metric, is a textbook case of what organizational behavior scholars call goal incongruence driving cross-functional conflict. That's a defensible, well-grounded read of the pattern you described.

Your move from "task conflict" to "relationship conflict" is also the right conceptual distinction (this maps to Jehn's classic conflict-type framework, though I'd flag: I'm not 100% certain that's the specific framework your course uses — worth checking your syllabus/readings rather than taking my label at face value). The evidence you cite for that escalation — competence attacks, not just data disagreements — is appropriate.

Where I'd push back or ask you to sharpen

1. Leadership legacy claim. You assert "authoritarian predecessor followed by conflict-avoidant successor" as established fact. Is this stated explicitly in the case, or is this your inference from the conflict-avoidance pattern in meetings? If it's inference, it's a reasonable one — but in your board memo you should mark it as diagnosis, not fact, or a rigorous professor will ask you to point to the text.

2. Market planning function "cut precisely when needed." Same question — is the timing of that cut (i.e., that it was cut during the period of rising complexity) stated in the case, or are you inferring causation from correlation? This is a meaningful claim in your recommendations (you recommend

reinstating it), so I'd want to know your evidentiary basis is text-supported rather than a plausible-sounding narrative you've constructed.

3. The NPD governance point is your strongest and least-supported claim simultaneously. You say "no one holding real decision authority" — but you also note the GM's presence improved meetings. That's a bit of tension: if the GM already has convening authority and it visibly helps, is the gap really "no authority exists," or is it "the GM isn't using existing authority consistently / isn't structurally embedded in the process"? Worth resolving before you present this as a governance-design problem to the Board — the recommendation differs depending on which it is (create new authority vs. formalize an existing person's role).

4. Recommendation ordering/prioritization is missing. You've given the Board five recommendations of roughly equal weight. A Board review typically wants sequencing — which is the precondition for the others to work? (My tentative view, which you should test against the case: shared metrics without new NPD governance may just create new, more sophisticated conflicts over the same pot of resources — worth considering which one is the higher-leverage first move.)

Probing questions for your next iteration

Does the case give you any hard data (e.g., actual forecast variance %, plant utilization, margin trend numbers) you haven't used yet that would strengthen the "measurement misalignment" diagnosis empirically rather than narratively?

Does the case specify who currently has formal kill/prioritize authority over NPD projects — or is your claim that authority is absent actually a claim that authority is unused?

What's the case's own stated rationale (if any) for cutting market planning — cost pressure, reorg, something else? That will tell you whether "reinstate it" is a resourcing ask or an organizational-design ask to the Board.

Answer whichever of these you can from the case text, and I'll do the second iteration against your revisions.

MY ANSWER -

I added an explicit strategic segmentation recommendation, distinguishing specialty applications where the parent's technology advantage still holds from commodity applications where it does not, including a specific call for a

capacity and footprint review of the two resistor plants. I also added a closing recommendation on sequencing and time horizon, since several of the fixes will not show up in a single budget cycle.

AI –

I can only evaluate this against the logic you've given me, not against the case text itself — so treat this as a structural sanity check, not confirmation the case supports it.

The segmentation/portfolio piece is a genuine strengthening

Splitting specialty (where R&D/tech-know-how is a real moat) from commodity (where it's a cost/scale game) is the right frame if the case actually shows the price-cost squeeze concentrated in certain product lines rather than uniformly across EPD. That's the load-bearing assumption here, and I don't have visibility into whether the case supports differential margin erosion by product line or whether it's a division-wide phenomenon. If it's uniform, the segmentation move is less about "which businesses to keep" and more just "the whole division is under margin pressure" — a different, less strategic story. Worth a quick check: does the case break out margins/competitive intensity by product category, or only give you division-level aggregates? If it's only aggregates, your segmentation recommendation is an inference you're layering on, not something the data directly supports — fine to do, but flag it to your professor as your own strategic judgment rather than something "the case shows."

***On the resistor-plant capacity review specifically** — I'd ask you one thing before you finalize this: is there something in the case pointing you at resistors in particular (e.g., stated as the more commoditized line, older tech, specific plant utilization data), or did you pick resistors as an illustrative example of "a commodity line"? If it's the latter, be careful in the memo — naming specific plants for a footprint review is a much more concrete, consequential ask to a Board than "review the portfolio," and you want the specificity to be earned by the text, not just illustrative.*

The sequencing/time-horizon closer is the right instinct, but check it against my iteration-1 question

You added sequencing, which is good — but I'd push on what you sequenced. My earlier question was whether shared metrics or NPD governance authority should come first, since doing metrics alone risks just relocating the conflict. Did your sequencing recommendation resolve that, or does it sequence on a different axis (e.g., "quick wins vs. structural fixes" rather than "which fix unlocks the others")? Both are legitimate sequencing logics for a Board memo,

but they lead to different first moves, and you should be explicit in the memo about which logic you're using — Boards tend to ask "why this one first" and "quick win" and "unlocks the others" are different answers to that question.

One structural gap I'd flag going into your third and final iteration: your recommendations are now comprehensive (metrics, governance, market planning, portfolio, coaching, sequencing) — at this point the risk shifts from "missing something" to "asking the Board to underwrite too much change across too many fronts simultaneously." Does your closing sequencing recommendation include anything about ***what the Board should NOT ask for at once*** *— i.e., an explicit statement of which 1-2 initiatives get funded/mandated now versus which get scoped for a later phase? That's often what separates a strong final answer from a merely complete one in these case discussions.*

That's my last round of probing per your 3-iteration cap. That's the third and final iteration per your cap — I'll leave it there unless you want to open a new round.

FINAL ANSWER -

(i) Status of challenges:

The business EPD competes in has changed, and its economics have followed. The division grew up serving OEM customers who needed highly reliable resistors and capacitors, first for the space program and military systems, later for the broader electronics industry. The case exhibits show sales growing steadily, peaking, then declining, with operating margin falling by almost two-thirds over the same period.

EPD's problems are not a personality clash between departments having a bad stretch. A better sales year would ease the pressure and likely reduce the visible friction, but it would not fix any of the underlying causes. Those causes

have to be addressed directly, and that is the basis for the recommendations below.

Four things compound each other. First, performance measures reward each function for a different, uncoordinated outcome volume for Sales, local gross margin for the plants, growth-by-segment for marketing with no shared division-level number. Second, a leadership legacy, an authoritarian predecessor followed by a conflict-avoidant successor, has never produced a culture where disagreement gets resolved on its merits rather than negotiated around informally. Third, the new-product governance process lets each function form its own view of a project's status, with no one holding real authority to make a decision stick. Fourth, market planning ,the support function best positioned to provide better forecasting,was cut precisely when the business needed it most.

Task conflict over legitimate differences in goals and information has hardened into relationship conflict distrust of competence, not just disagreement on numbers and that is what makes the problem serious rather than self-correcting.

(ii) Recommendations to the Board:

Realign performance measures so Sales, Marketing, and Manufacturing share at least one division-level metric alongside their local ones;for example, a shared specialty-versus-commodity volume or margin target, held as an interim measure until the portfolio review below determines the division's long-term product mix.

Give new-product decisions to a cross-functional body spanning Sales, Marketing, Manufacturing, and Product Development with real authority to prioritize and kill projects jointly, using shared go or no-go criteria, rather than merely reviewing status after the fact.

Complete the previously scoped and abandoned interfunctional coordination work rather than starting a new initiative from zero

Reinstate a dedicated market-planning capability

Give the division head direct, targeted coaching on confronting conflict and enforcing accountability, the specific gap his own managers describe

Commission an explicit portfolio and capacity review to determine which product lines remain competitive on the company's technical strengths, versus which have become commodity businesses that may no longer support the current plant footprint

Sequence these changes deliberately: the governance and coaching recommendations can begin immediately and require no new investment. The shared metric and portfolio review should follow within the first two quarters, since they depend on data and cross-functional agreement that don't yet exist. Market-planning reinstatement is a resourcing decision the Board should fund now but expect to show results only over one to two budget cycles, several of these fixes will not appear in a single cycle, and the Board should evaluate progress acordingly rather than expecting an imediate turnaround.